

10. Crypto Wild West

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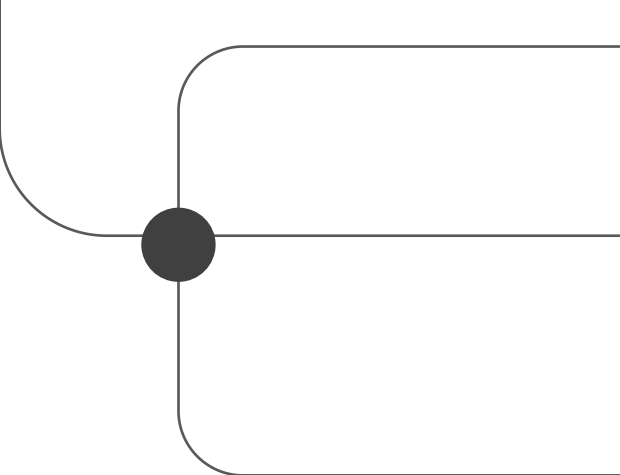
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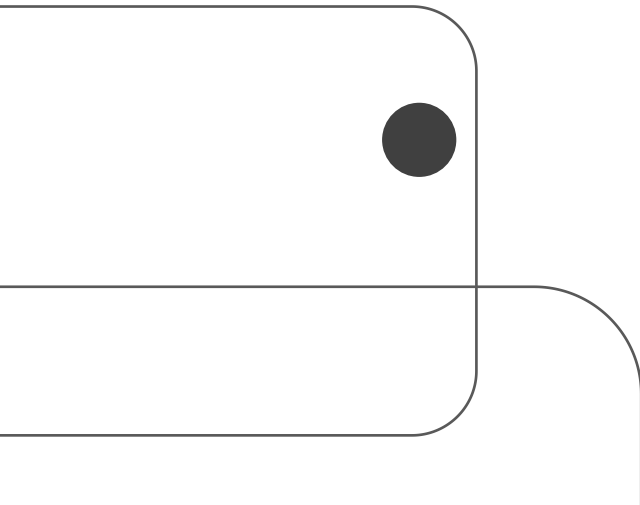
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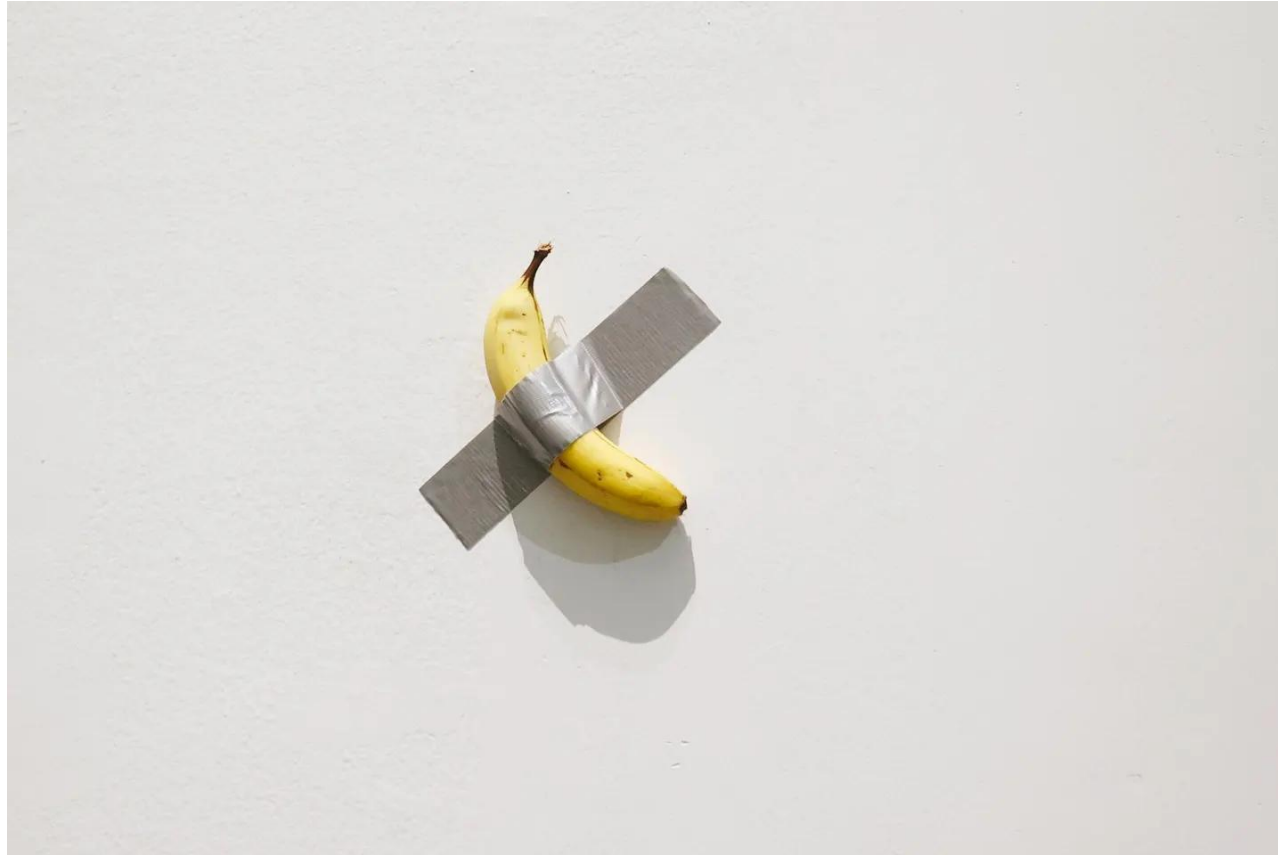
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1. Money Laundering



1. Money Laundering : What is Money Laundering?



'Comedian', a banana duct-taped to a wall, by Italian artist Maurizio Cattelan

It is legal, but I remain unconvinced of its purpose.

1. Money Laundering : What is Money Laundering?



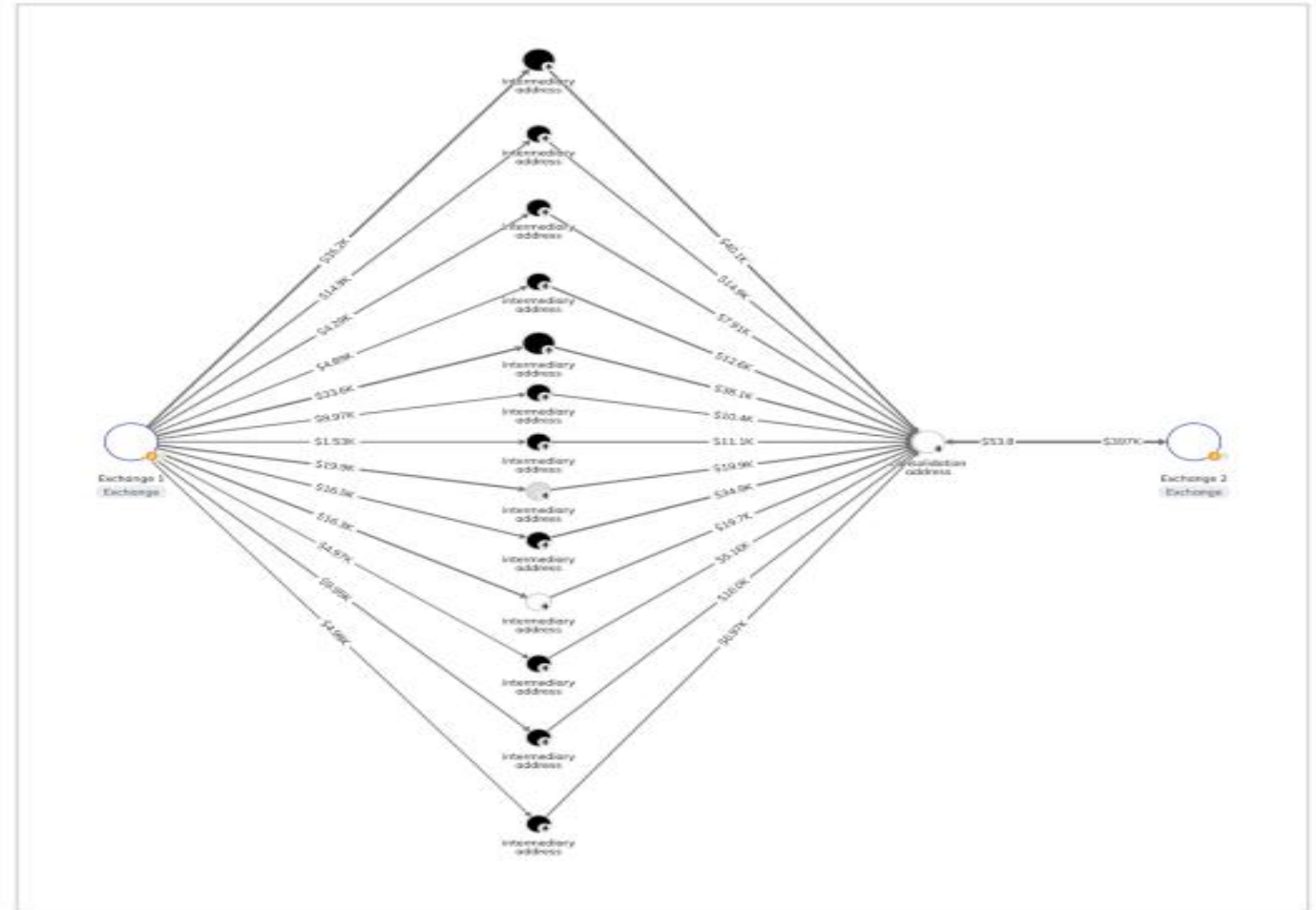
- Money laundering is a major crime because it enables criminals to profit from and reinvest in illicit activities, corrupts economies by distorting markets and harming legitimate businesses, threatens the stability of financial systems and public trust, and fuels corruption, organized crime, and terrorism by providing essential funding.

1. Money Laundering : Types of Money Laundering (Partial List)

- **Trade-Based Laundering** : Over-or-under-invoicing for goods and services.
Over-invoicing Export: A car worth \$10,000 is invoiced at \$50,000. The buyer pays the extra \$40,000, moving value to the seller.
Under-invoicing Import: A shipment of diamonds worth \$1 million is invoiced at \$200,000, allowing the buyer to pay less and pocket the difference.
- **Smurfing (Structuring)**: Breaking down large sums into smaller, less-suspicious deposits to avoid detection.
- **Shell Companies**: Fake or inactive companies with no real business operations, used to move and hide money.
- **Purchase-and-Refund**: Purchasing property/goods with illegal cash and then selling or returning it, to receive funds from the seller to a bank account.
Could be anything expensive and carrying values, Jewellery, Antique, Art, NFT, Real Estate, Yacht, etc.
- **Loan-based Laundering**: Lending illegal cash or cryptocurrency and requiring the borrower to repay via bank transfer or to a third-party account unrelated to the lender.
- **Crypto Trading based Laundering**: Deposit illegal cryptos to a CEX to mix them with other trading activities. Or “lose” all the cryptos to a “counterparty” account.
- **Casino/online Gambling Laundering**: Disguising the origin of illicit funds by moving them through gambling venues or platforms to make the money appear as legitimate gambling winnings.
- **Crypto Mining Laundering**: It's new and hard to investigate.

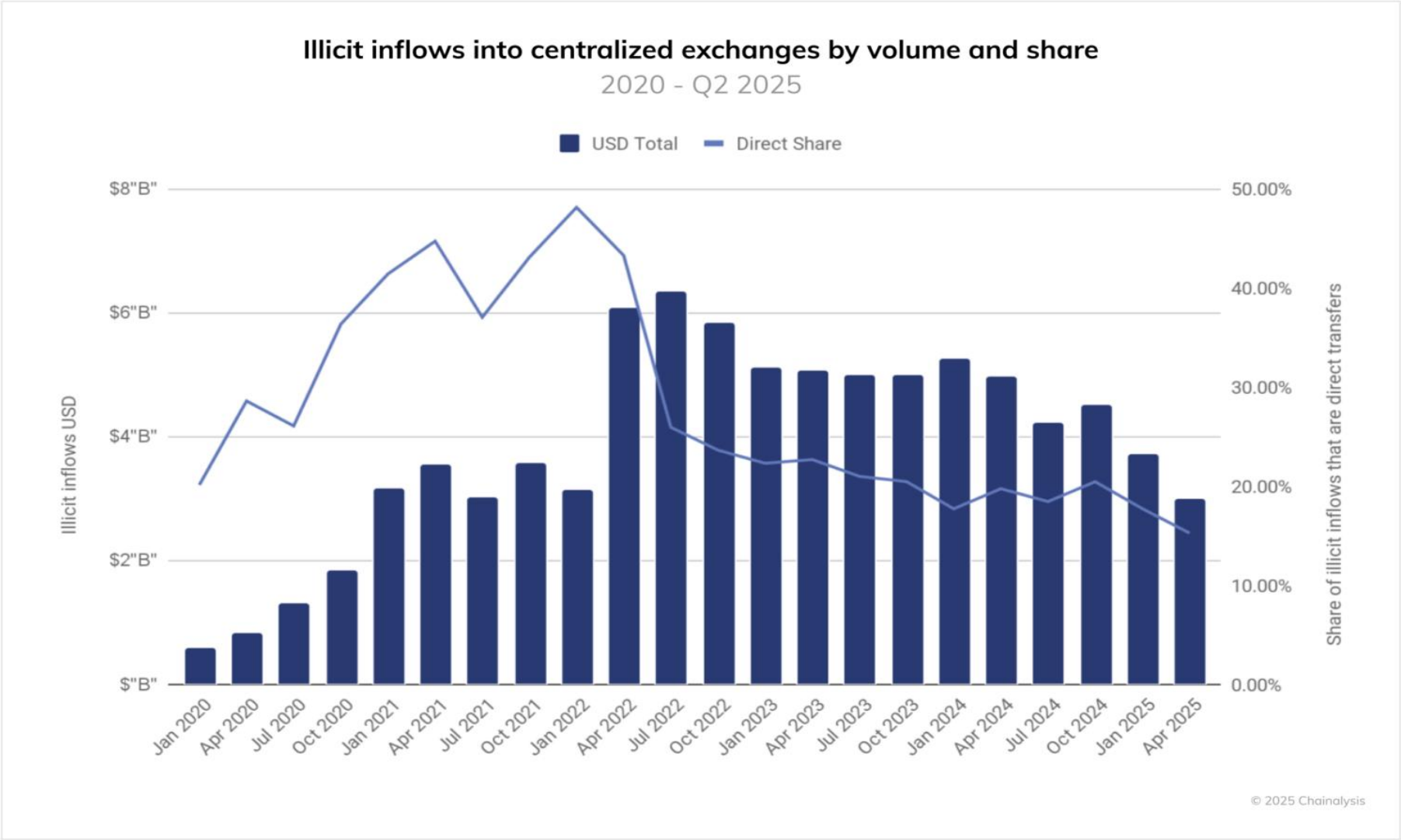
1. Money Laundering : Crypto Exchange Laundering

- Money Launderers could move illegal cryptos from exchanges to exchanges.
- Cryptocurrency laundering routes are international, but police authority is local.
- The criminals could or could not trade within an exchange.
- They could “trade to loss” on purpose to a number of unrelated counterparty accounts, making it extremely hard to track.
- CEXs are often the sole source of evidence, yet trading and account records stored in their databases can be hidden, manipulated or even deleted.



Compliance teams at Exchange 1 would have difficulty directly linking the victims to the scammer, especially if the intermediary addresses are single-use with no prior ties to illicit activity — unless they traced the transactions to the consolidation wallet. The use of many intermediaries prior to consolidation is a strategy to prevent the compliance team at Exchange 1 from understanding the connection between all the victims that were sending funds.

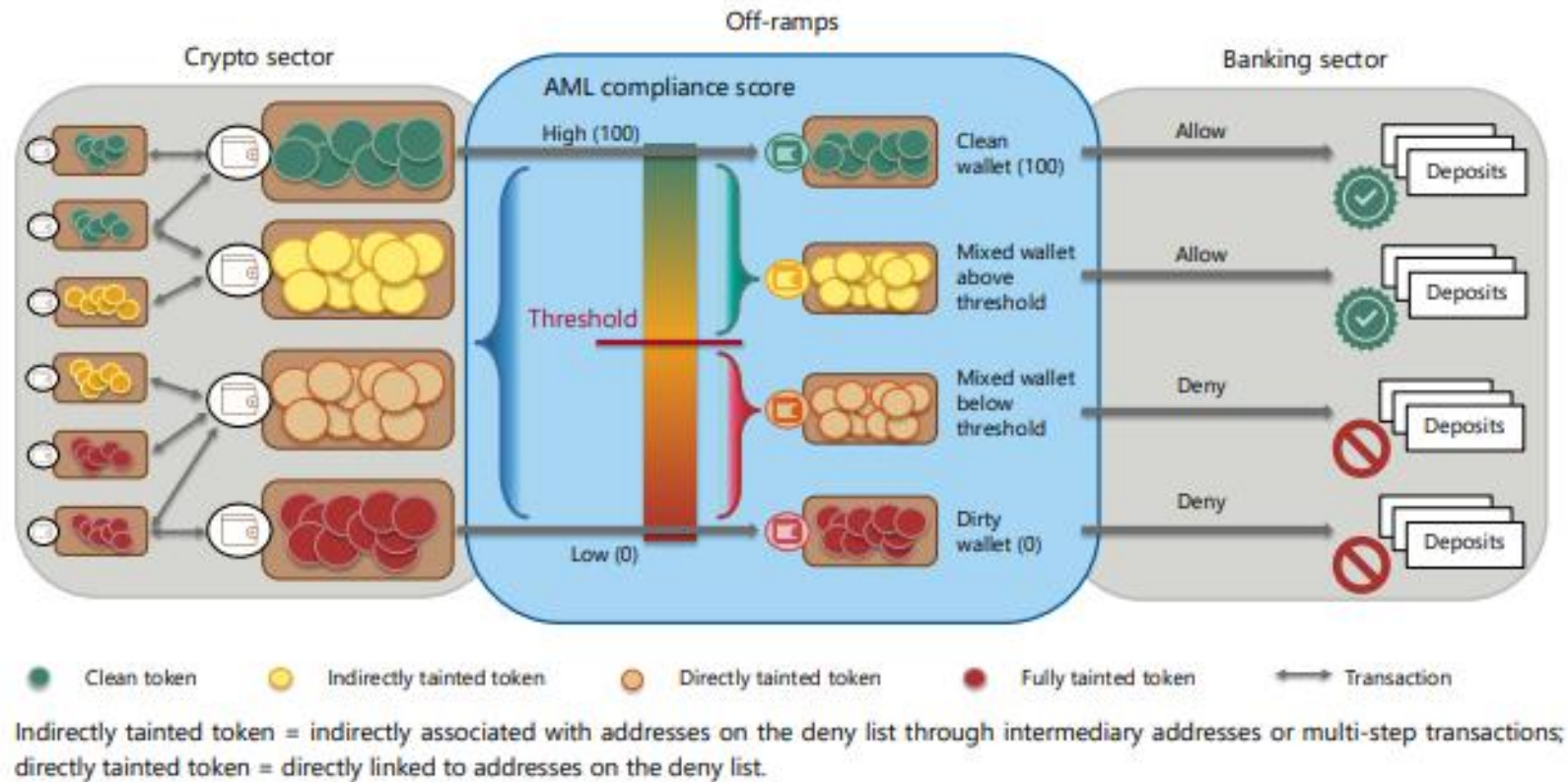
1. Money Laundering : Crypto Exchange Laundering



1. Money Laundering : AML and Money Laundering Risk Assessment

An AML compliance score using transaction history and token provenance

Graph 1



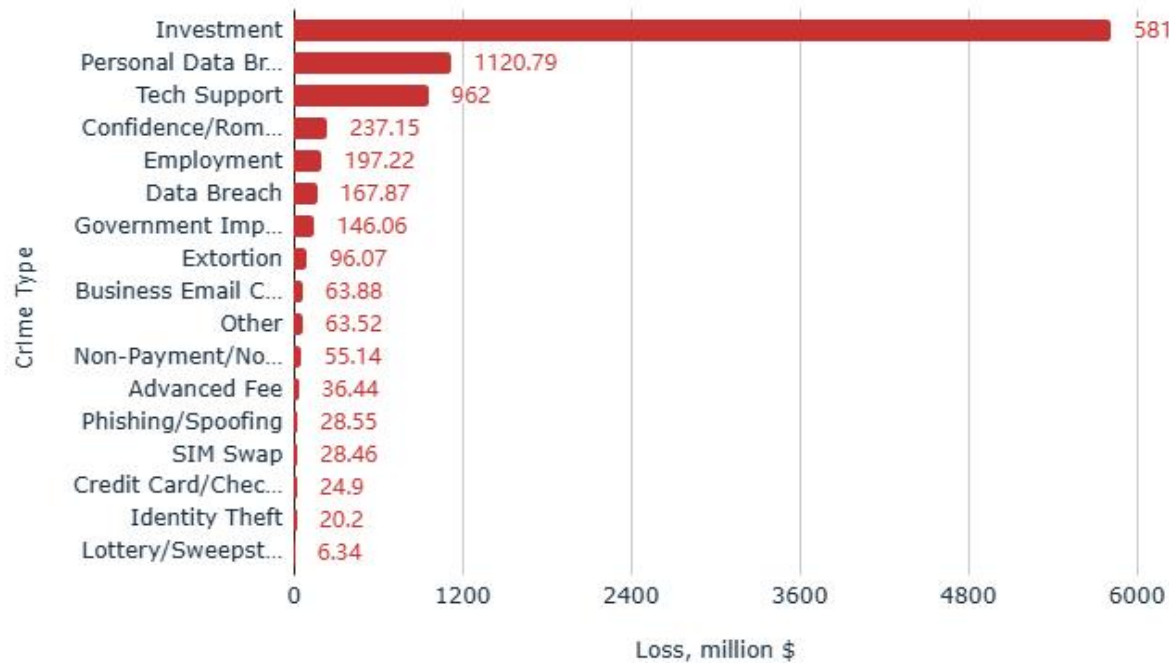
- Aldasoro, I., Frost, J., Lim, S. H., Perez-Cruz, F., & Shin, H. S. (2025). *An approach to anti-money laundering compliance for cryptoassets* (No. 111). Bank for International Settlements.
- <https://home.treasury.gov/system/files/136/2022-National-Money-Laundering-Risk-Assessment.pdf>
- <https://www.fatf-gafi.org/content/dam/fatf-gafi/reports/Professional-Money-Laundering.pdf>

2. Crypto Crimes: Latest Statistics

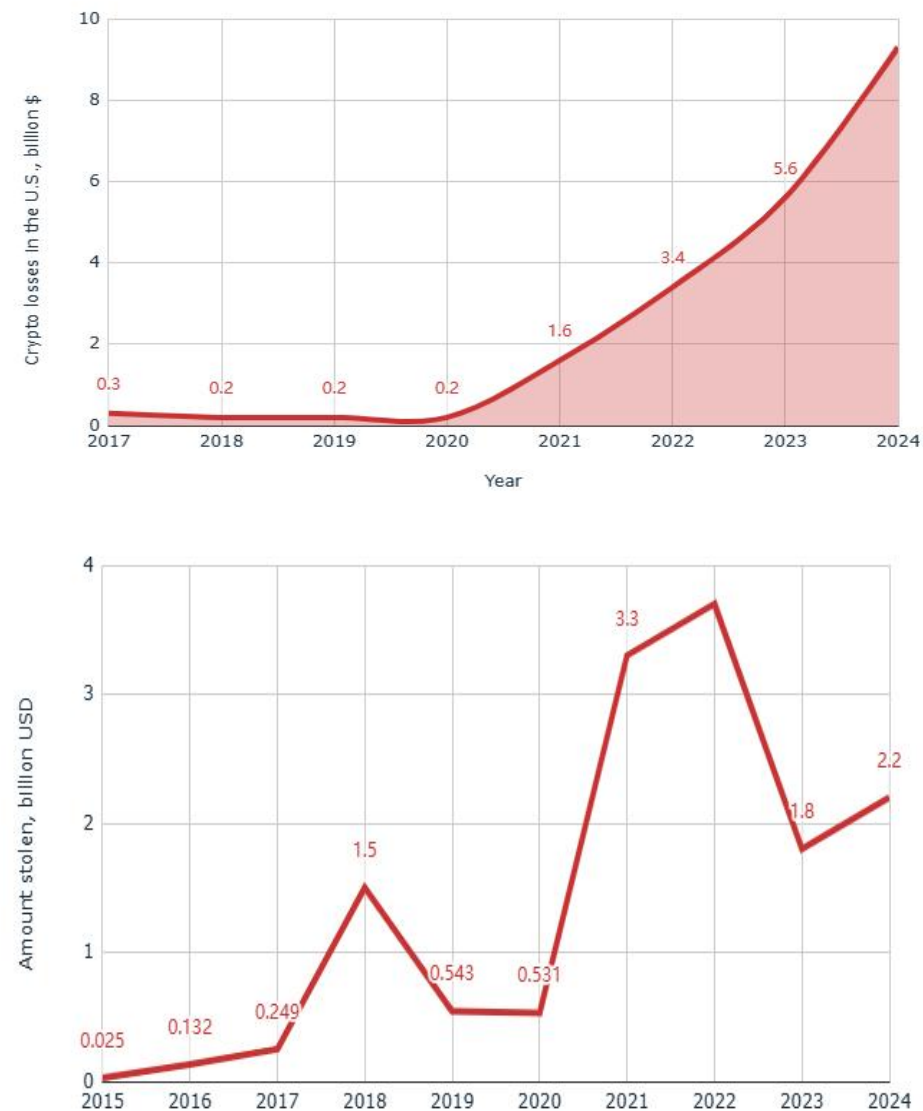
- Hackers stole \$2.2 billion in cryptocurrency in 2024, with DeFi platforms as the top targets.
- An estimated \$51 billion flowed to illicit crypto wallets in 2024.
- An estimated \$40 billion in crypto was laundered in 2024 through wallets, mixers, and bridges.
- Stablecoins accounted for 63% of illicit crypto laundering in 2024.
- Investment scams alone caused over \$5.8 billion in U.S. losses - the most damaging weapon in crypto crime.
- U.S. citizens filed nearly 150,000 crypto scam complaints in 2024.

2. Crypto Crimes: Latest Statistics

Crypto losses by type of crime in the United States in 2024



Crypto scam losses in the United States



Source: <https://coinledger.io/research/crypto-crime-report>

2. Crypto Crimes: Types of Crypto Crimes (Partial List)

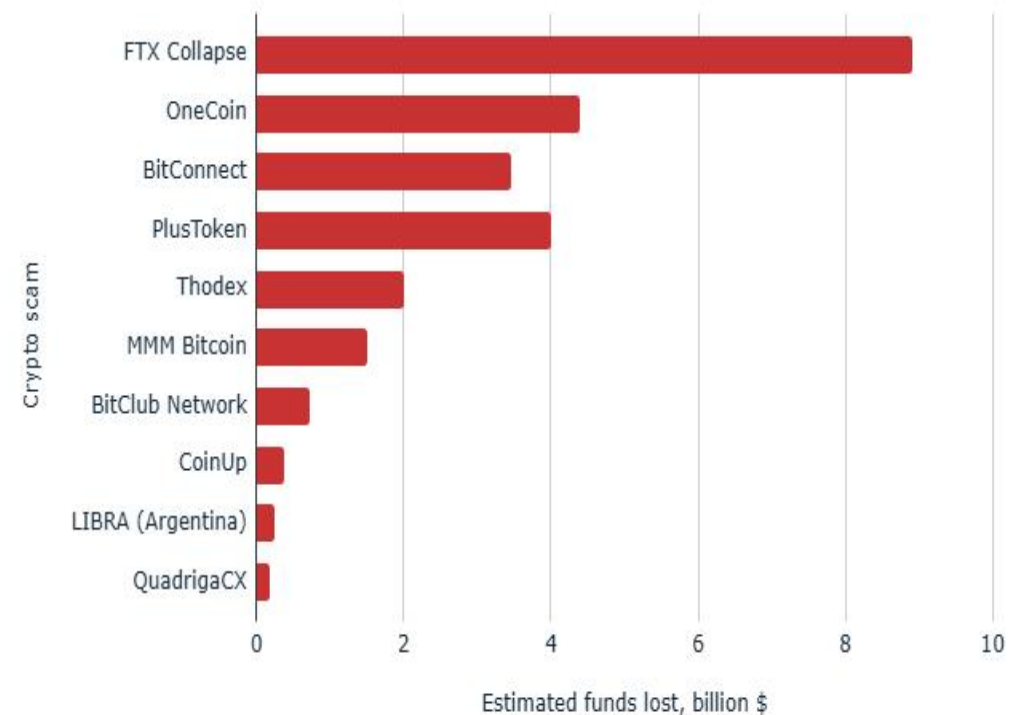
Investment Scams

- Ponzi/Pyramid Schemes: Promise high returns, paying early investors with new investors' money, with no real underlying investment.
- “Investment Manager” Scam: Use fake investment suggestions to persuade victims to “invest” and take the money.
- Rug Pulls: Developers abandon a crypto project after raising funds, taking the money with them.
- Fake ICOs/Investment Platforms: Fraudulent new coin offerings or investment sites that disappear with funds.

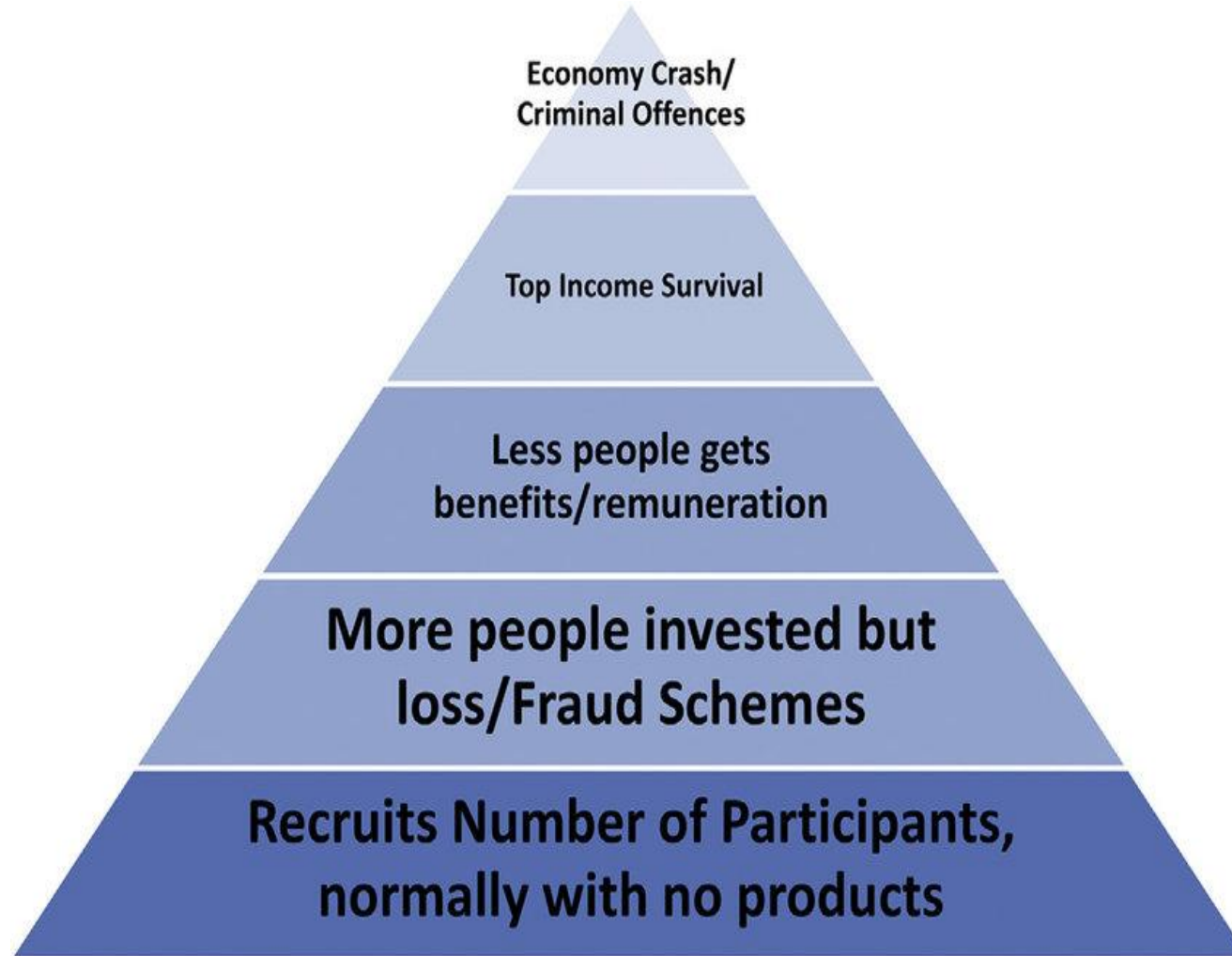
Fake Products & Services

- Fake Wallets/Exchanges: Bogus apps or websites that look real but steal funds or data.
- Cloud Mining Scams: Promising high-yield mining without the need for hardware, often through fake services.
- Fake Jobs/Employment Scams: Luring victims with fake job offers that require crypto payments for training or fees.

The biggest crypto scams in history

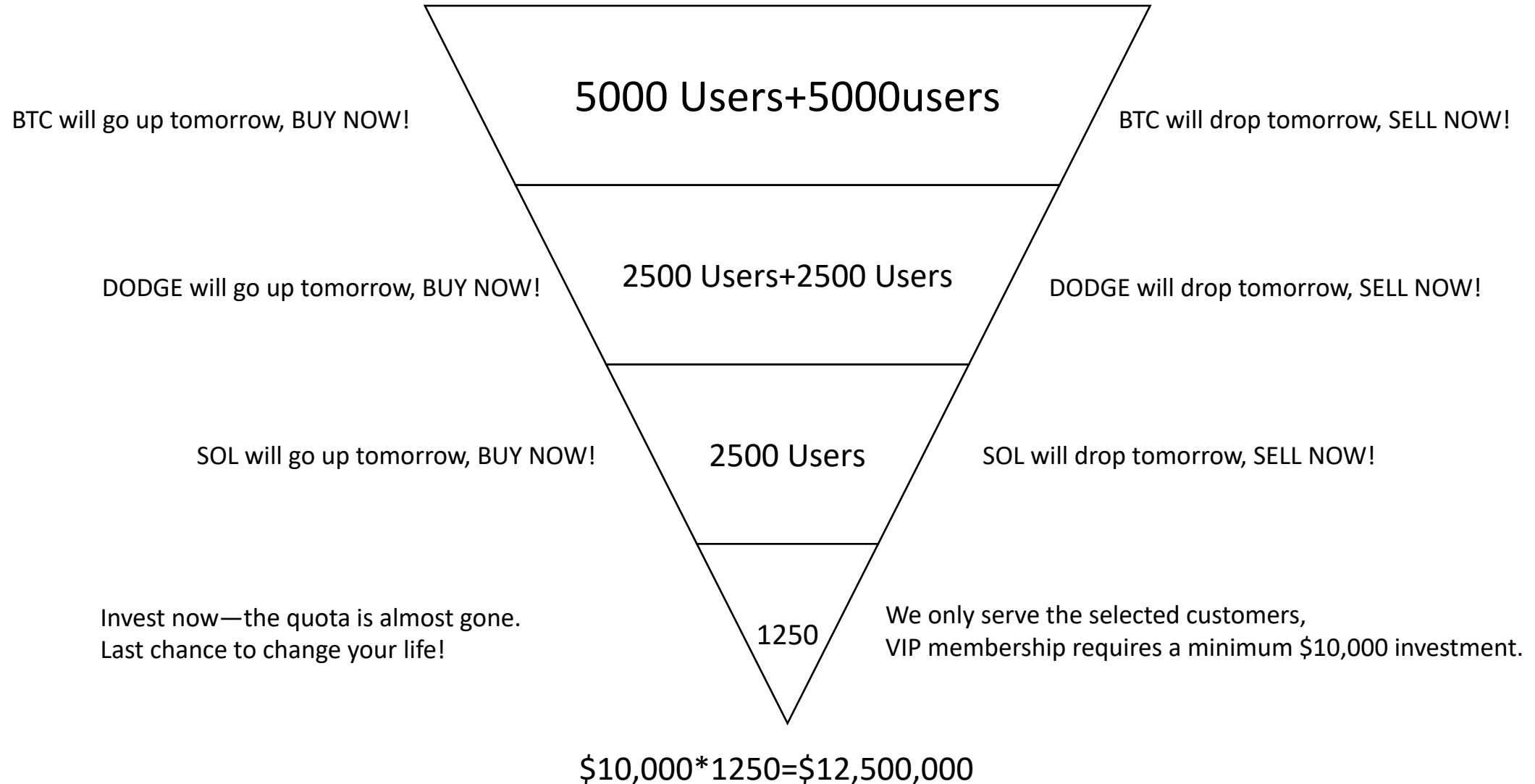


2. Crypto Crimes: Investment Scams, “Ponzi Scheme”



Galasintu, S., Supanit, S., & Chaiittivej, C. (2018). The issue of direct sales and direct marketing law and enforcement in Thailand: A comparative study of the relevant UK and Malaysia laws. *Kasetsart Journal of Social Sciences*, 39(2), 328-333.

2. Crypto Crimes: Investment Scams, “investment manager” scam



2. Crypto Crimes: Social Engineering

Social engineering attacks manipulate people into sharing information that they shouldn't share, downloading software that they shouldn't download, visiting websites they shouldn't visit, sending money to criminals or making other mistakes that compromise their personal or organizational security.

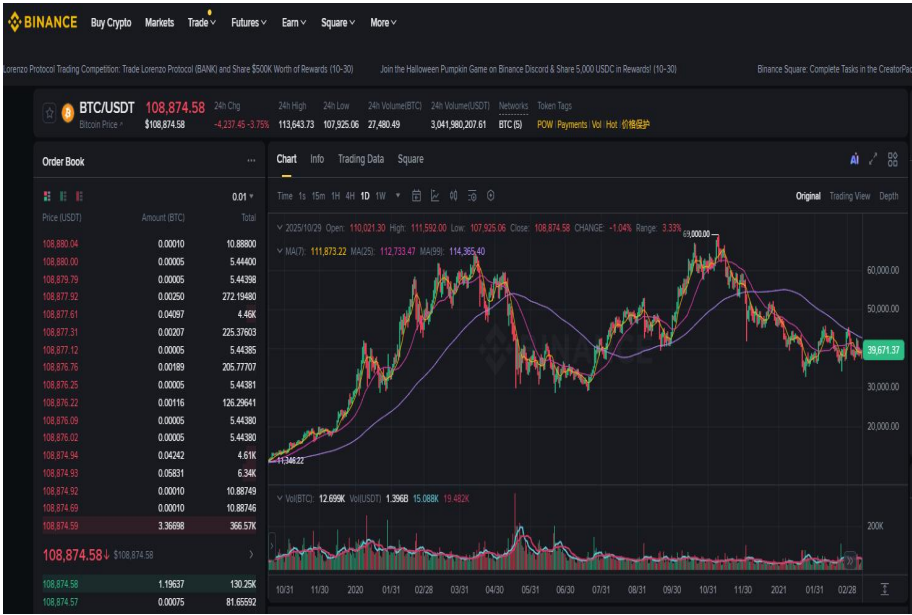
- **Phishing** scams are the most common type of social engineering attack. They typically take the form of an email that looks as if it is from a legitimate source. Sometimes attackers will attempt to coerce the victim into giving away credit card information or other personal data. At other times, phishing emails are sent to obtain employee login information or other details for use in an advanced attack against their company.
- **Watering hole attacks** are a very targeted type of social engineering. An attacker will set a trap by compromising a website that is likely to be visited by a particular group of people, rather than targeting that group directly.
- **Physical social engineering:** When talking about cybersecurity, we also need to talk about the physical aspects of protecting data and assets. Certain people in your organization--such as help desk staff, receptionists, and frequent travelers--are more at risk from physical social engineering attacks, which happen in person.
- **USB baiting** sounds a bit unrealistic, but it happens more often than you might think. Essentially what happens is that cybercriminals install malware onto USB sticks and leave them in strategic places, hoping that someone will pick the USB up and plug it into a corporate environment, thereby unwittingly unleashing malicious code into their organization.

- <https://www.ibm.com/think/topics/social-engineering>
- <https://www.cisco.com/site/us/en/learn/topics/security/what-is-social-engineering.html>

3. Market Manipulation: “Knock Out”



Binance BTC/USDT (Screenshot taken 2021-10)



Binance BTC/USDT (Screenshot taken 2025-10-30)



Binance USDE/USDC (Screenshot taken 2025-10-30)

3. Market Manipulation: Wash Trading, Spoofing, Front Running

My own experience:

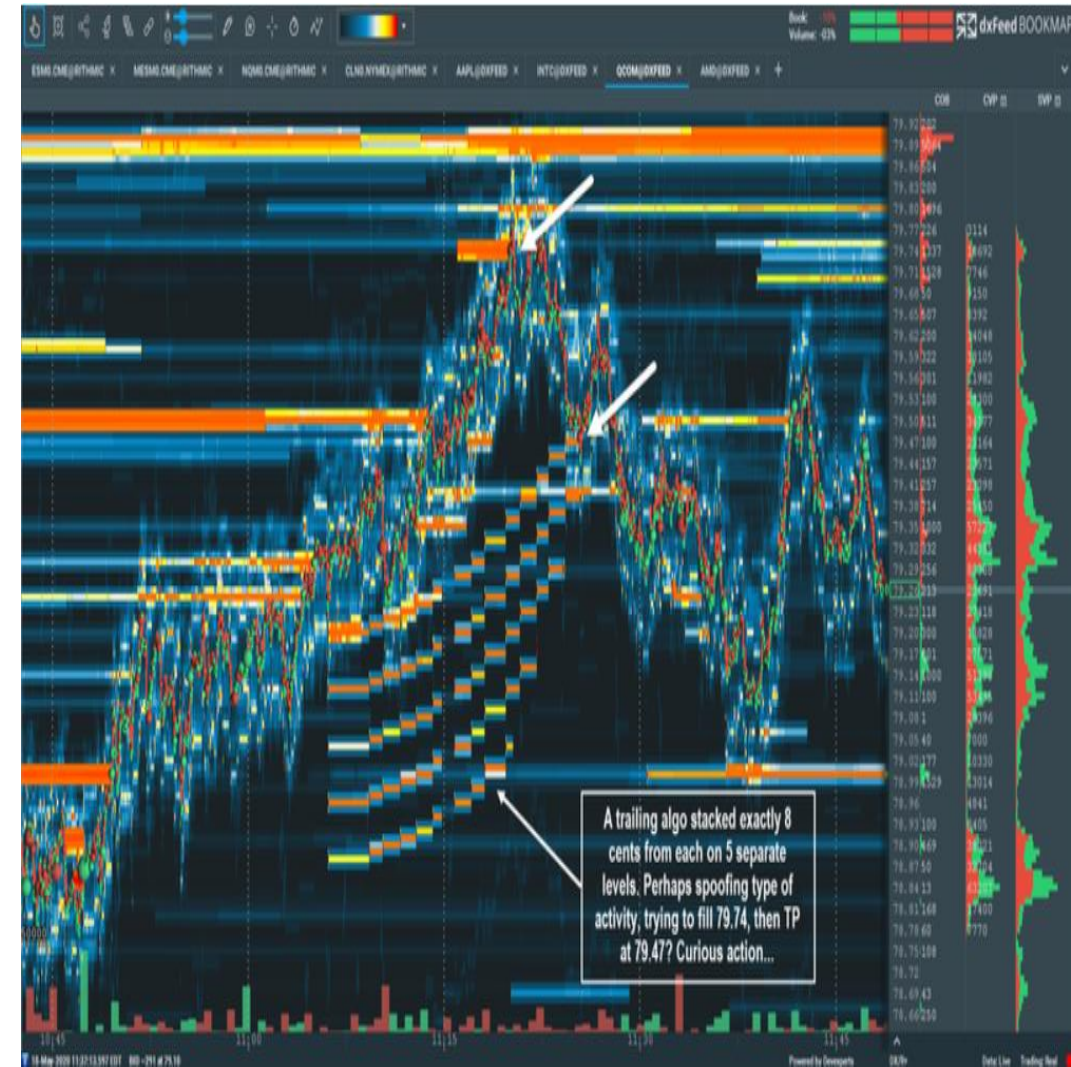
- **Wash Trading:** buys and sells the same asset repeatedly to create false market activity.
(fake volume, fake price)

Some crypto exchanges provide zero cost account to third party traders for market making. Bots will buy and sell at the same price from left hand to right hand, creating fake trading volumes that attracting investors.

- **Spoofing (fake order book):** a trader places large fake buy or sell orders to create a false impression of supply or demand—then cancels them before they're executed.
- **Front Running:** trading ahead of client orders

Ghost limit order book: you can see the order book, but the orders will be canceled before your incoming limit orders. When sending a market order, the executed price will be far from the current bid/ask price.

No third-party Book-keeping!



source:Bookmap

3. Market Manipulation: Unauthorized Trading, Falsifying Records

My own experience:

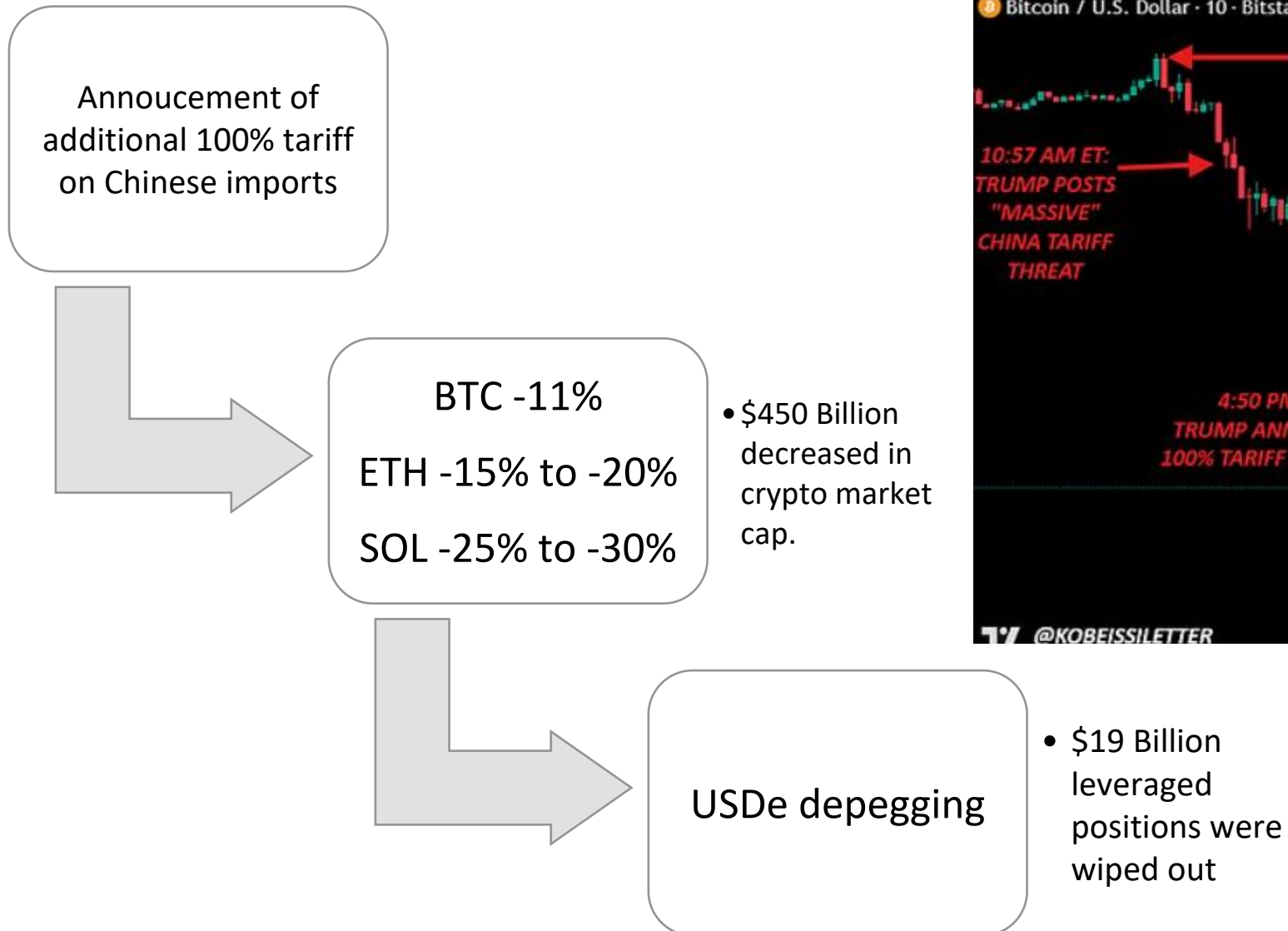
An exchange refused to accept normal orders when it is against their favor.

- **Unauthorized Trading:** When a broker accesses a client's account and executes trades without the client's permission, this is considered unauthorized trading, which is illegal.
- **Breach of Fiduciary Duty:** If the market maker intentionally blocks or delays client orders to benefit itself. It is illegal under securities regulations because the broker or market maker is putting their own profit above the client's rights.

An exchange manipulated my trading record (switch buy and sell), so I lost 100% of my asset.

- **Account Manipulation / Falsifying Records:** Deliberately altering transaction records or statements to mislead clients or regulators.
- **Embezzlement or Misappropriation:** If the manipulation is done to divert funds or profit personally.
- **Securities Fraud:** Because it involves deception in the handling of client accounts.

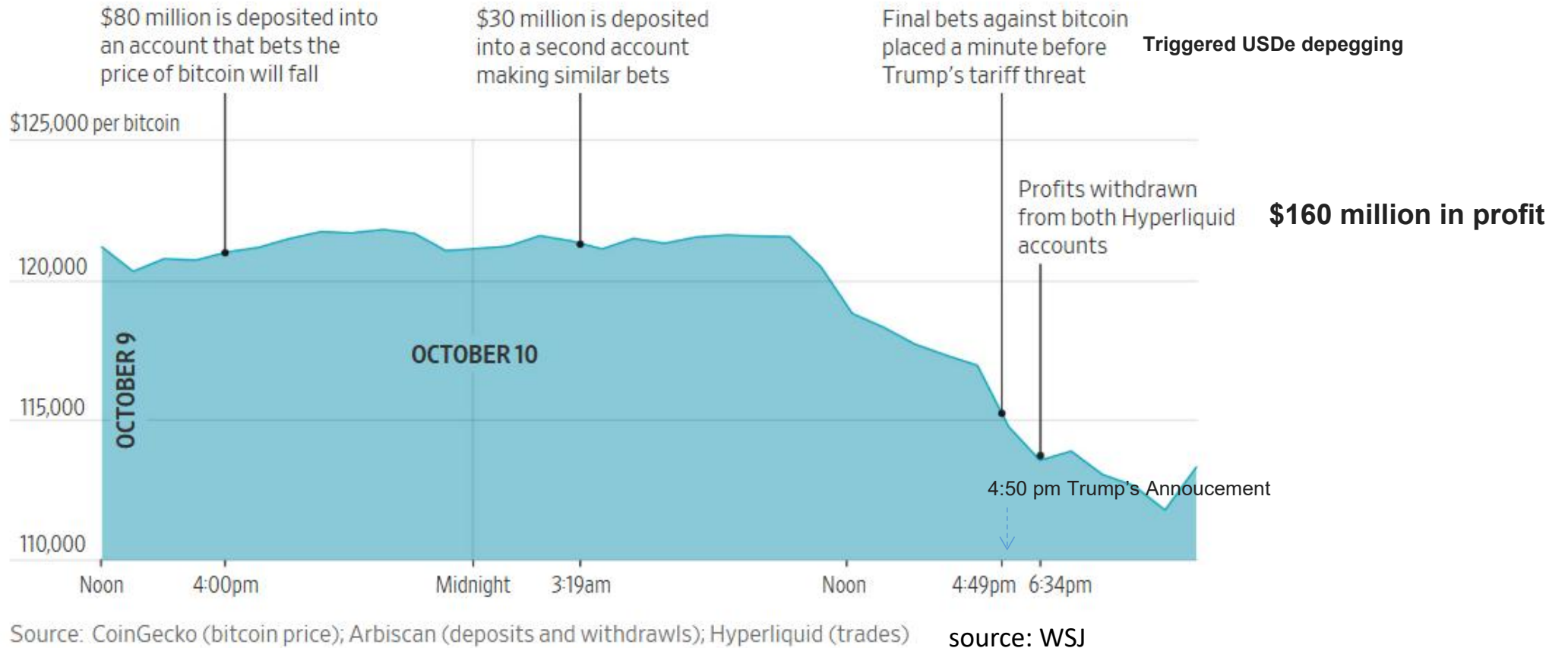
3. Market Manipulation: 10.11 Crypto Crash (What happened?)



2. Market Microstructure: 10.11 Crypto Crash (Insider Trading?)

Betting bitcoin will fall

Recent trading activity by two Hyperliquid accounts show at least one trader made millions betting the price of bitcoin would decline.

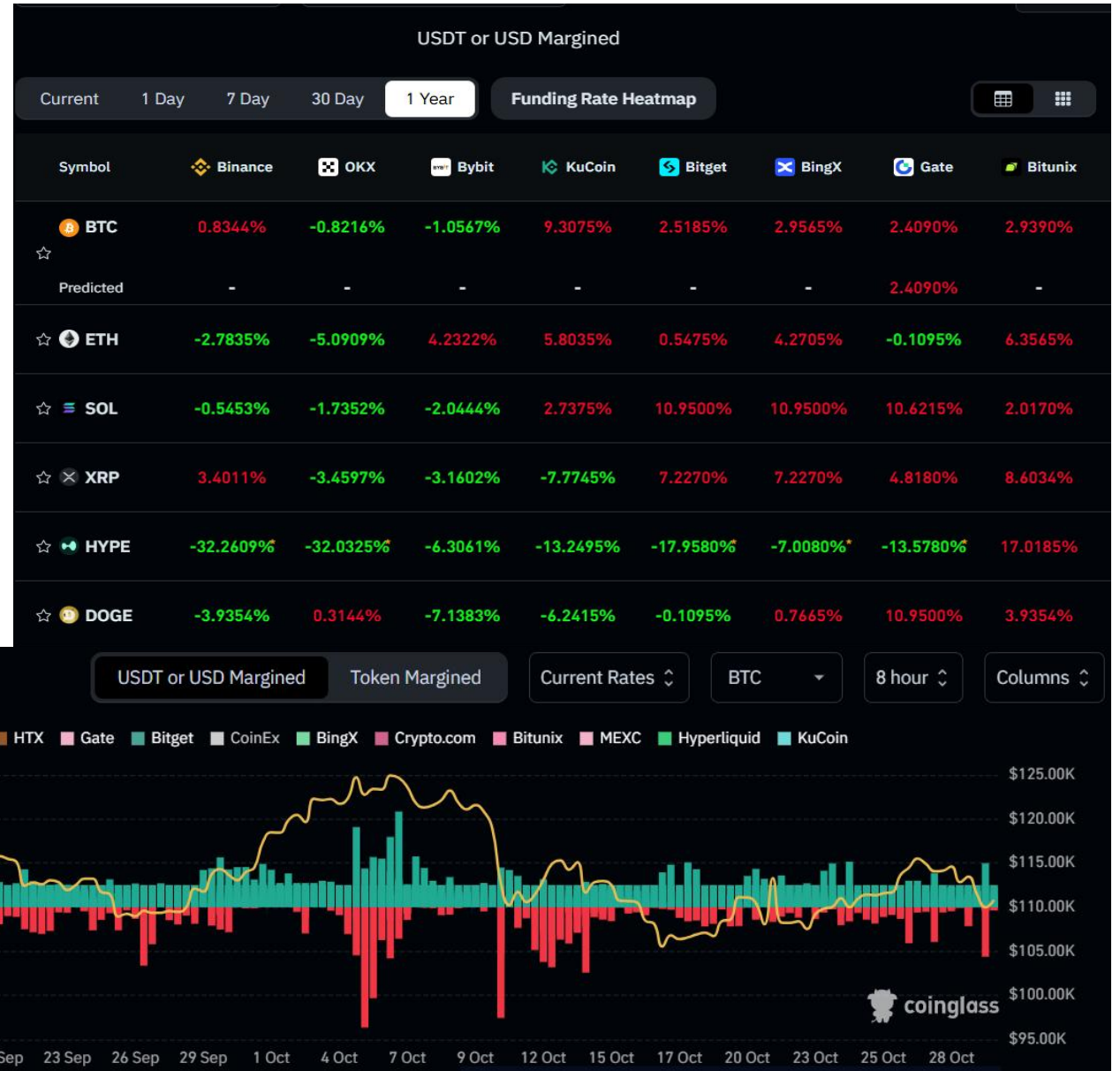


It might be the account deposited \$80 million:

<https://hypurrsan.io/address/0xb317d2bc2d3d2df5fa441b5bae0ab9d8b07283ae>

3. Market Manipulation: USDe Depegging (USDe mechanism)

- USDe is an algorithmic stable coin built on a delta-hedging strategy.
- Long spot BTC, short perpetual futures when the funding rate is positive.
- USDe annualized return is 4-12%. (source: Binance, Ethena)
- Delta hedging neutralizes directional risk, but is still suffering from liquidity risk, Gamma risk, transaction risk, etc.



source: coinglass

3. Market Manipulation: USDe Depegging (Revolving Credit: Super Leverage from DeFi)

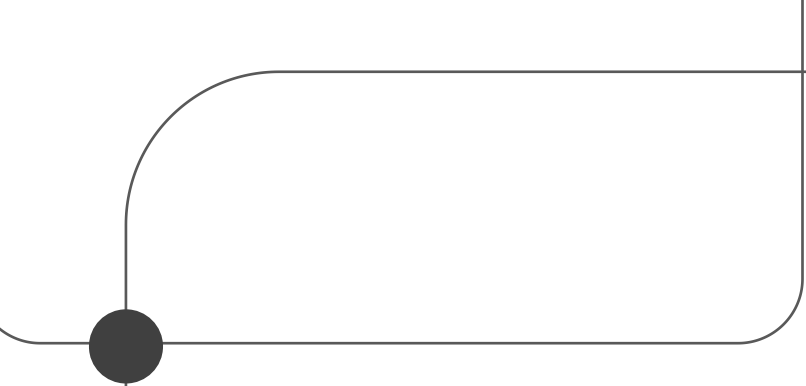
Summary	Cycle	Total Asset	USDe Interest	Interest (Borrow)	Annualized Return
Original Scenario	0	10000	12%	5%	12%
Leveraged Scenario 1	10	65132.16	12%	5%	46%
Leveraged Scenario 2	30	95760.88	12%	5%	67%
Leveraged Scenario 3	50	99484.62	12%	5%	70%

Cycle	Principle/Collateral (USDe)	Loan-to-Value Ratio	Borrow (USDc)	Total Asset	Leverage
1	10000.00	0.90	9000.00	10000.00	0
2	9000.00	0.90	8100.00	19000.00	1.90
3	8100.00	0.90	7290.00	27100.00	2.71
4	7290.00	0.90	6561.00	34390.00	3.44
5	6561.00	0.90	5904.90	40951.00	4.10
6	5904.90	0.90	5314.41	46855.90	4.69
7	5314.41	0.90	4782.97	52170.31	5.22
8	4782.97	0.90	4304.67	56953.28	5.70
9	4304.67	0.90	3874.20	61257.95	6.13
10	3874.20	0.90	3486.78	65132.16	6.51

Binance USDe Reward Distribution is Live – Now with 12% APR Promotion

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There’s no credit check when you borrow cryptos!



Thank You

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